CASCADIA ANALYTICS

Vistra Corp

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The AI Power Re-Rating Defies Merchant Reality

Analyst: Justin Wen | October 21, 2026

Vistra Corp has established an enviable commercial foothold at the intersection of dispatchable generation and hyperscale infrastructure, underpinned by multi-decade off-take agreements with Meta and novel financing partnerships through Helix Digital Infrastructure. However, equity markets have capitalized these contracted secular tailwinds while overlooking the merchant cyclicality, mark-to-market derivative volatility, and heavy balance sheet leverage embedded in the operating fleet. Trailing valuation multiples of 63.4x earnings and an enterprise value to EBITDA multiple of 13.3x leave zero margin for power price normalizations or operational interruptions across the company's conventional assets. We initiate coverage with a Hold (Valuation Concerns) rating, establishing a probability-weighted blended target of $79.44, representing -43.6% upside relative to the $140.95 reference price.

HOLD	$79.44	-43.6%	$140.95
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

While momentum investors price Vistra as an unconstrained technology growth compounder riding insatiable data center energy demand, fundamental reality dictates that the company remains an integrated power producer bound by commodity spreads, asset availability, and substantial debt service obligations. The prevailing share price discounts immediate execution of maximum margin expansion across the

entire generation stack, ignoring the volatile derivative marks and fuel expense pressures that have repeatedly disrupted consensus forecasts.

Executive summary

Vistra Corp operates as an integrated power producer that combines zero-carbon nuclear and natural gas generation under the Luminant banner with large-scale retail electricity operations through TXU Energy and Ambit. The enterprise is actively executing a strategic transformation into an enterprise-grade artificial intelligence data center power supplier, catalyzed by 20-year power purchase agreements with Meta across 2.6 gigawatts of nuclear capacity alongside Department of Energy backed nuclear uprates. This structural evolution provides long-duration revenue visibility for a portion of the asset base, theoretically insulating contracted volumes from the spot commodity price swings that historically dictated merchant power economics.

The evidentiary record across recent reporting periods reveals a company executing at elevated capacity, yet marked by profound accounting turbulence. In the second quarter of FY2026, Ongoing Operations Adjusted EBITDA expanded 31% year over year to $1.767 billion, propelled by higher realized energy and capacity prices, even as operating revenue missed street expectations at $4.02 billion due to a $472 million unrealized hedge loss. That performance followed a record first quarter in FY2026 where operating revenue rose 43.4% year over year to $5.64 billion and GAAP net income reached $1.029 billion, supported by an East segment adjusted EBITDA surge of 56% to $801 million following higher PJM capacity revenues and the integration of the Lotus acquisition. However, the first-quarter performance was heavily assisted by a $723 million unrealized hedge gain, underscoring how non-cash derivative marks distort GAAP earnings quality.

Capital allocation and balance sheet management remain the central constraints on equity value creation. Vistra closed FY2025 carrying $20.1 billion in total debt and $19.3 billion in net debt against cash reserves of $785.0 million, generating free cash flow of $1.32B on revenue of $17.7B. While S&P and Fitch granted investment-grade credit ratings, refinancing activities throughout FY2026 have expanded the nominal debt stack, including $2.25 billion of secured notes in January and $4.0 billion of unsecured notes in April. Although management reaffirmed FY2026 Adjusted EBITDA guidance of $6.8-7.6 billion and highlighted a preliminary 2027 EBITDA opportunity midpoint of $7.4-7.8 billion, the current $47.8B market capitalization discounts near-flawless multi-year cash flow conversion that our quantitative framework cannot justify.

Operational snapshot

$140.95	$17.7B	$1.32B	7.4%	1.39	$140.95
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Dispatchable and Contractual

Vistra's competitive advantage stems from the physical scarcity of large-scale, dispatchable generation located in highly constrained power markets. Through Luminant, the company controls a diverse fleet of zero-carbon nuclear generation alongside natural gas capacity that cannot be easily replicated or swiftly replaced. In power markets like ERCOT and PJM, grid operators and large load customers increasingly pay a premium for firm, round-the-clock reliability. The addition of the Lotus transaction, which brought seven natural gas plants and 2,600 megawatts of dispatchable capacity into the portfolio for $1.231 billion, directly bolstered Vistra's capacity to harvest elevated clearing prices during peak demand events.

The second pillar of the moat is the contractual duration forged through bilateral enterprise agreements. Rather than selling electricity exclusively into volatile short-term wholesale clearing auctions, Vistra has successfully repositioned baseload nuclear output into bespoke, long-term corporate partnerships. Most notably, the company executed 20-year power purchase agreements with Meta covering 2.6 gigawatts of nuclear generation, which was augmented by a 20-year, 1,200 megawatt contract at Comanche Peak. These agreements erect structural switching costs around corporate off-takers who require carbon-free, high-uptime power to sustain capital-intensive artificial intelligence compute clusters, insulating these generation assets from competitive wholesale margin erosion.

On the retail front, TXU Energy and Ambit provide an integrated margin defense mechanism that balances upstream generation risk. By serving end-market retail commercial and residential consumers, Vistra internalizes spark spreads and captures premium retail margins that offset wholesale power pricing declines. This integrated business architecture was evident during the first quarter of FY2026, when the Texas retail and generation operations demonstrated resilience despite experiencing the second-warmest ERCOT first quarter since 1950. The scale of the combined retail book creates a natural hedge, reducing the cash collateral friction that typically handicaps pure-play merchant generators.

Finally, federal policy frameworks and joint capital structures solidify the firm's competitive positioning. Nuclear production tax credits establish a structural regulatory cash flow floor under Luminant's nuclear fleet, turning these facilities into durable economic infrastructure assets regardless of baseline merchant pricing troughs. Simultaneously, the launch of Helix Digital Infrastructure alongside institutional heavyweights KKR, Kuwait Investment Authority, and

NVIDIA provides an off-balance-sheet vehicle to finance massive hyperscale power developments. This consortium approach allows Vistra to monetize its development pipeline and secure strategic equipment supply without exhausting corporate balance sheet capacity.

Valuation

Three scenarios make the valuation range explicit

Our valuation methodology implements an explicit cash flow bridge derived from detailed operating assumptions over the FY2026 through FY2030 forecast window. The modeling framework accounts for the substantial step-change in near-term generation revenue followed by disciplined multi-year compounding as long-term contracts take effect. We discount projected unlevered free cash flows using a verified weighted average cost of capital of 8.45%, applying a base case terminal growth rate of 2.5% across 339.2 million diluted shares outstanding. The resulting scenarios reveal an extreme asymmetry between the downside inherent in Vistra's legacy merchant exposure and the upside priced in by momentum investors.

In our base case scenario, operating revenue compounds at a 5.8% CAGR through FY2030, reflecting steady commercial execution across both retail and wholesale markets, the realization of guided 2026 Adjusted EBITDA of $6.8-7.6 billion, and the gradual integration of the 2027 opportunity window of $7.4-7.8 billion. Target free cash flow margins normalize toward 7.9% by the final forecast year, expanding marginally from the 7.4% realized in FY2025 as higher capacity pricing from PJM and nuclear production tax credits counter ongoing debt service requirements. This path yields a base equity value of $74.69 per share, indicating that the prevailing market price of $140.95 sits roughly 88% above intrinsic fundamental value.

The bull and bear trajectories test the sensitivity of cash conversion to commodity realizations and capital deployment. The bull case accelerates revenue growth to an 8.6% CAGR with a terminal free cash flow margin of 10.7%, reflecting frictionless execution across the Meta agreements, seamless scaling of Helix Digital Infrastructure, and pristine operating performance across the generation fleet, generating an intrinsic valuation of $150.90 per share. Conversely, the bear case models a 3.0% revenue CAGR and a contraction in terminal free cash flow margin to 5.3%, simulating severe merchant margin compression, elevated fuel and purchased power expenses, and unplanned maintenance outages. This bear case results in a target price of $17.47 per share, exposing the precarious downside of high operating leverage.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	3.0%	5.3%	$17.47	-87.6%
Base	50%	5.8%	7.9%	$74.69	-47.0%
Bull	25%	8.6%	10.7%	$150.90	+7.1%

Bear $17.47

A prolonged downturn in wholesale capacity clearing prices combines with recurring thermal plant outages and margin compression. Unrealized derivative losses materialize into severe cash flow drains while elevated debt service on $20.1 billion in obligations restricts operational flexibility.

Base $74.69

Execution tracks management guidance with FY2026 Adjusted EBITDA landing inside the $6.8-7.6 billion range and steady off-take from long-term contracts. Free cash flow margins stabilize near 7.9%, yet fail to support multiples trading at over 60 times trailing earnings.

Bull $150.90

Hyperscale AI infrastructure partnerships expand rapidly through Helix Digital Infrastructure while 2.6 gigawatts of Meta contracts maximize long-term cash flow visibility. Nuclear production tax credits and sustained PJM capacity revenues drive free cash flow margins toward 10.7%.

Valuation framework

A live discount rate, not a static hurdle

The discount rate applied in our model is fixed at an 8.45% WACC, reflecting an equity beta input of 1.39 that captures the pronounced volatility of merchant generation assets. While utility investors often benchmark regulated peers against low-beta hurdle rates, Vistra's ongoing operational profile retains significant exposure to commodity crack spreads, wholesale clearing auctions, and severe derivative mark-to-market adjustments. Market pricing at $140.95 implicitly assumes that Vistra has already achieved the risk profile of a fully regulated transmission utility, an assumption directly contradicted by recent quarterly performance.

Our capital asset pricing framework incorporates the company's extensive debt capitalization, which stood at $20.1 billion at the conclusion of FY2025. With net debt of $19.3 billion and sizable capital raises executed in early FY2026, including $2.25 billion in secured notes and $4.0 billion in unsecured notes, debt service obligations exert a structural claim on enterprise cash generation. The 8.45% discount rate penalizes this debt burden, ensuring that projected terminal values do not overstate the residual equity claim in scenarios where wholesale power prices retreat.

FCF margin normalization is the engine

The progression of free cash flow margins from FY2025's reported 7.4% level represents the primary operational variable governing shareholder returns. In FY2025, Vistra generated $1.32 billion of free cash flow on $17.7 billion of revenue, supported by an operating margin of 12.0% and gross margin of 32.9%. Management's long-term targets imply significant cash conversion expansion, setting FY2026 adjusted free cash flow before growth guidance at up to $4.725 billion alongside $6.8-7.6 billion in Adjusted EBITDA. However, converting adjusted metrics into sustainable GAAP free cash flow requires navigating substantial working capital swings, fuel expense escalations, and debt refinancing charges.

Across our forecast scenarios, target free cash flow margins range from 5.3% in the bear scenario to 10.7% in the bull scenario, with the base case settling at 7.9%. The base case captures the structural benefits of nuclear production tax credits and the incremental capacity revenues unlocked by the Lotus acquisition, offset by maintenance capital requirements and the cash costs of retail customer acquisition. Because Vistra operates an extensive fleet of thermal generation assets alongside its nuclear core, fleet upkeep and occasional unplanned downtime impose capital drag that prevents the broader business from sustaining pure-play software or contracted infrastructure margins.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.45% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**1.39**
Diluted shares	**339.2 million**

HOLD

over $79.44 blended target

Competitive moat and concentration risk

We rate the moat as None and we view the market structure as Fragmented merchant generation; oligopoly in contracted nuclear. We assign a discount of 10% to sector median multiples on moat strength alone.

- contracted nuclear, 52.4% of the 6,448 MW nuclear fleet contracted to AWS (1,200 MW) and Meta (2,176 MW) on an operating basis, 59.1% including uprates (pxsresearch, October 2026), plus PJM capacity clearing at the $325-333/MW-day cap.
- PJM capacity at the $325/MW-day cap on ~10,924 MW (≈$1.30B/year capacity revenue, pxsresearch) is genuine contracted pricing power, but it is capped upside (the cap limits further gains) and runs only through May 2029. Against it: Q2 2026 adjusted EPS $1.68 missed the $2.05 consensus, and management guided 2027 adjusted EBITDA toward the low end of $7.4-7.8B (August 7, 2026 call via TIKR).

- The weakest element is merchant energy price-taking, ERCOT prices averaged ~$30/MWh in 2026, flat with 2025 (CEO Jim Burke, August 7, 2026 call via TIKR), ERCOT North Hub forwards fell 21% for 2027 between Q3 2025 and Q2 2026 reporting dates, and batteries now shave the evening peaks that used to set generator margins (Brandon Leon analysis, October 2026, single-source analysis, flagged). Per the task instruction, VST is not premiumed as if it were a regulated utility: its earnings are merchan

On a multiple cross-check, the justified range is 10.9-12.8x / 14.8-17.4x. The cross-check value is $32-$38 (FCF-as-EPS ceiling $78-$92, still below spot), on a base of $2.18 median GAAP diluted EPS, 2021-2025. The gap verdict is Already not at all, stays; original arithmetic collapses ~79%.

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	1 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 20 percent. Shown side by side with the moat premium or discount, the net stance is -30 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected from batch arithmetic)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Wholesale Capacity Pricing and Hyperscale PPA Expansion HOLD

The fundamental trajectory of Vistra's wholesale operations hinges upon the realization of peak capacity revenues across PJM and ERCOT. The strategic rationale for the $1.231 billion acquisition of Lotus, encompassing 2,600 megawatts across seven gas plants, was immediately demonstrated in the first quarter of FY2026, where the East segment delivered $801 million in adjusted EBITDA, representing a 56% year-over-year surge. Tight reserve margins and elevated clearing prices in regional transmission organizations enable Vistra's gas fleet to capture wide spark spreads, complementing the baseload nuclear generation that underpins the segment's cash flow floor.

Simultaneously, the pivot toward artificial intelligence data center supply contracts is transforming Vistra's wholesale commercial identity. The execution of 20-year power purchase agreements with Meta across 2.6 gigawatts of nuclear generation, paired with the 20-year 1,200 megawatt Comanche Peak agreement, establishes unprecedented contract duration for merchant nuclear assets. These contracts mitigate the commodity volatility that has historically triggered severe earnings swings. Furthermore, the establishment of Helix Digital Infrastructure with partners KKR, Kuwait Investment Authority, and NVIDIA provides an external capital stack to develop bespoke generation and digital infrastructure hubs, creating capital-light expansion opportunities.

Conversely, earnings quality and headline revenue transparency remain compromised by extensive derivative hedging programs. In the second quarter of FY2026, operating revenue dropped 5.5% year over year to $4.02 billion, missing consensus estimates by roughly $1.7 billion as GAAP results absorbed a $472 million unrealized hedge loss on contracts settling in forward years. This volatility was mirrored in reverse during the first quarter of FY2026, when Adjusted EBITDA of $1.494 billion was inflated by a $723 million unrealized hedge gain. While management highlighted that 98% of 2026 generation was hedged as of May 1, 2026, these non-cash mark-to-market derivative swings obscure underlying run-rate operating performance.

The retail business through TXU Energy and Ambit provides critical channel stability against wholesale volatility. Retail operations allow Vistra to capture the spread between wholesale generation costs and end-user retail rates. However, thermal fleet reliability poses an ongoing operational challenge. During the third quarter of FY2025, an unplanned outage at Martin Lake Unit 1 reduced generation volumes, illustrating that the aging conventional coal and gas fleet remains exposed to mechanical disruptions that can interrupt generation exactly when market power prices peak.

What to monitor

- **PJM capacity auction clearings and wholesale power realization** dictate whether the East segment can sustain the 56% adjusted EBITDA growth recorded during early FY2026.
- **Execution milestones on the Meta 20-year PPAs** and commercial developments within the Helix Digital Infrastructure joint venture with KKR, KIA, and NVIDIA.
- **Derivative mark-to-market volatility and cash flow conversion** as unrealized hedge marks swing between multi-hundred-million-dollar gains and losses.
- **Balance sheet deleveraging progress** following the issuance of $2.25 billion in secured notes and $4.0 billion in unsecured notes against $20.1 billion in total debt.

+3.0%	32.9%	12.0%	7.4%	$19.3B	18.5%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$17.7B
Gross Profit	$5.83B
EBIT	$2.13B
Net Income	$944.0M
EBITDA	$5.05B
Free Cash Flow	$1.32B
Diluted EPS	$2.22
ROE	18.5%

Risk & moat matrix

The bear case

SHARE EROSION

Intense competition across ERCOT and PJM retail

M&A DIGESTION

Integrating the $1.231 billion Lotus acquisition brings 2,600

REGULATORY AND PRICING SCRUTINY

Elevated power costs and high-profile data

TECHNOLOGY DISRUPTION

Accelerated deployments of alternative grid-scale storage or

REINVESTMENT TREADMILL

Sustaining baseload reliability across an aging thermal fleet requires

WACC AND DURATION SENSITIVITY

Carrying $20.1 billion in total debt leaves the

markets can pressure TXU Energy and Ambit customer retention rates. A failure to defend retail market share would force higher volumes into merchant wholesale auctions, elevating earnings volatility.

megawatts of gas capacity that requires disciplined maintenance and dispatch coordination. Any operational bottlenecks across these seven acquired plants could drag on forecast East segment EBITDA contributions.

center co-location agreements could invite increased regulatory scrutiny from grid monitors and regional operators. Unfavorable rule changes regarding capacity market designs or transmission cost allocation could compress realized margins.

modular generation technologies could erode the scarcity value of conventional dispatchable gas assets. If commercial off-takers bypass grid-connected merchant assets, long-term contracting margins could face downward pressure.

constant capital expenditure and maintenance outlays. Outages such as the Martin Lake Unit 1 disruption highlight how thermal plant degradation can demand unexpected capital outlays and cause revenue shortfalls.

enterprise sensitive to high benchmark interest rates during refinancing cycles. Recent debt issuances, including $4.0 billion in unsecured notes, solidify a heavy interest burden that diminishes residual equity value under an 8.45% WACC.

The strengths

OLIGOPOLY POSITION

The Luminant generation fleet represents an irreplaceable footprint of firm baseload and dispatchable peaking capacity in power-constrained regions. This structural positioning allows Vistra to capture significant capacity premiums during extreme weather and peak grid demand conditions.

FCF COMPOUNDING

Long-term power purchase agreements paired with federal nuclear production tax credits provide a predictable baseline of operational cash generation. Management guidance projecting up to $4.725 billion in adjusted free cash flow before growth demonstrates the fleet's underlying cash harvest capacity.

GEOGRAPHIC DURABILITY

Operating across both ERCOT and PJM provides critical geographic and regulatory diversification for the wholesale generation fleet. When regional weather anomalies or localized congestion impact Texas, the East segment can offset weakness through elevated capacity revenues.

PIPELINE OPTIONALITY

Collaborating through Helix Digital Infrastructure with NVIDIA, KKR, and KIA provides immense development optionality for hyperscale AI campuses. This platform allows Vistra to monetize land and grid interconnection rights while offloading heavy infrastructure development capital.

The bottom line on risk and reward

Vistra Corp has successfully decoupled itself from the traditional merchant generator archetype through forward-looking corporate contracting and strategic capacity acquisitions. The execution of 20-year agreements with Meta on 2.6 gigawatts of nuclear generation, combined with investment-grade balance sheet endorsements from S&P and Fitch, provides operational validation for management's commercial roadmap. Moreover, ongoing operations adjusted EBITDA guidance of $6.8-7.6 billion for FY2026 underscores that current market conditions are highly supportive of the company's dispatchable generation assets.

Nonetheless, the valuation ascribed to this operational progress has become entirely disconnected from underlying fundamentals. At $140.95 per share, Vistra trades at 63.4 times trailing diluted earnings and 13.3 times enterprise value to EBITDA, multiples typically reserved for capital-light, high-margin software enterprises rather than capital-intensive power producers burdened by $20.1 billion in total debt. The persistent volatility of GAAP net income, highlighted by multi-hundred-million-dollar derivative mark-to-market swings and periodic thermal outages, reminds us that cash conversion remains cyclical.

Our quantitative valuation model synthesizes these dynamics into a probability-weighted blended target price of $79.44 per share, indicating -43.6% upside relative to current market trading levels. While the bull case target of $150.90 demonstrates that further upside is theoretically achievable under exceptional commercial and pricing conditions, the base case valuation of $74.69 and the bear case risk of $17.47 tilt the risk-reward equation decidedly against incremental capital allocation. We reiterate our Hold (Valuation Concerns) rating, advising institutional clients to wait for a substantial valuation retracement before establishing or expanding equity exposure.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Luminant Generation and Retail Supply: The Integrated Power Engine

At the center of Vistra's operational identity is the commercial synthesis between Luminant's wholesale generation assets and the retail customer relationships managed by TXU Energy and Ambit. Luminant operates a diverse, high-output generation fleet consisting of zero-carbon nuclear facilities alongside extensive natural gas generation units. This fleet is structurally positioned to capture upside during tight wholesale clearing events, providing the dispatchable energy essential to maintaining regional grid stability across ERCOT and the PJM Interconnection.

The retail segment acts as a stabilizing counterbalance to wholesale commodity volatility. TXU Energy and Ambit purchase power to supply broad commercial, industrial, and residential consumer bases, effectively securing an internal off-taker for Luminant's generation volumes.

This integrated structure limits the need to post excessive speculative collateral during periods of high commodity pricing, allowing Vistra to optimize margins across both the generation spark spread and final retail utility billing. As retail electricity demand rises, Vistra's integrated supply chain preserves margin capture within the enterprise.

Furthermore, Vistra is repositioning the Luminant nuclear footprint to serve as dedicated infrastructure for artificial intelligence computing. Nuclear energy provides steady, non-intermittent, carbon-free baseload power, making it the preferred energy source for technology hyperscalers facing aggressive decarbonization mandates alongside massive compute power requirements. By pairing long-term corporate PPAs with DOE-backed nuclear uprates, Vistra is expanding the effective capacity of its zero-carbon assets, transforming traditional power plants into specialized compute utility assets.

What the recent record shows

- Ongoing Operations Adjusted EBITDA rose 31% year over year to $1.767 billion in the second quarter of FY2026, driven by higher realized energy and capacity prices across the wholesale fleet.
- The closing of the $1.231 billion Lotus acquisition added 2,600 megawatts of dispatchable natural gas capacity across seven plants, powering a 56% adjusted EBITDA increase in the East segment during the first quarter of FY2026.
- Commercial off-take momentum accelerated via 20-year PPAs signed with Meta covering 2.6 gigawatts of nuclear power, alongside a 20-year, 1,200 megawatt agreement at the Comanche Peak facility.
- GAAP earnings quality exhibited wide fluctuations due to unrealized derivative marks, shifting from a $723 million unrealized hedge gain in the first quarter of FY2026 to a $472 million unrealized hedge loss in the second quarter.

> **Our read:** The Luminant and retail commercial franchise is executing with exceptional operational leverage in a tight capacity environment. However, the market has fully capitalized these structural achievements into an unsustainable 63.4x earnings multiple that fails to price merchant commodity cyclicality and heavy debt service obligations.